

Rajee Steels Pvt. Ltd. & Anr. v. State of U.P. & Ors.

High Court of Judicature at Allahabad · Division Bench · 22 April 2016 · WRIT - C No. - 10188 of 2010 · **Writ petition allowed. The recovery proceedings initiated against petitioner no. 1 in 2010 for electricity dues relating to a 1997 disconnection were held barred by the two-year limitation in Clause 6.15(b) of the U.P. Electricity Supply Code, 2005 — the Corporation having failed to establish that the dues were continuously shown as recoverable — and were quashed. The petitioners' arguments that liability stood shifted to the auction-purchaser under a sale-deed, and that the Director could not be proceeded against, were rejected but did not affect the result. No order as to costs.**

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HEADNOTE

Rajee Steels Pvt. Ltd. (a consumer with a load reduced from 1900 to 1100 KVA) defaulted on electricity dues; its supply was temporarily disconnected on 26 March 1997 and later permanently disconnected, with a final bill of Rs. 36,61,248.14. Its manufacturing unit was taken over by PICUP for loan default and sold to the auction-purchaser (respondent no. 7) by a registered sale deed dated 8 May 2002 stipulating that the purchaser would bear all present and future dues. A fresh recovery citation dated 11 February 2010 was issued against the company, which it challenged. The Allahabad High Court (Division Bench) allowed the writ and quashed the recovery. The decisive holding was limitation: under Clause 6.15(b) of the U.P. Electricity Supply Code, 2005, no sum due from a consumer is recoverable after two years from the date it first became due unless the sum has been continuously shown as recoverable as arrears of electricity charges; the respondent-Corporation's counter-affidavit was silent on any such continuity, so recovery initiated in 2010 for a 1997 disconnection was time-barred and could not be sustained. The Court additionally rejected two arguments (which did not bear on the result): (i) that the sale-deed shifted liability to the purchaser — the petitioners and the supplier were not parties to that bilateral document between PICUP and the purchaser and could not take advantage of it, the demand being enforceable under the supply contract, and a transferee in any event cannot be foisted with a predecessor's dues absent a contract to the contrary (DVS Steels); and (ii) that the Director could not be proceeded against personally — while a Director is not personally liable for the company's dues absent a personal guarantee, the impugned citation had in fact been issued against the company through its Director, not against him personally.

FACTUAL SUMMARY

Petitioner no. 1, Rajee Steels Pvt. Ltd., established a Mild Steel Ingots factory at Sathariya Industrial Development Area, Jaunpur, and was sanctioned an electricity connection of 1900 KVA (later reduced to 1100 KVA under a fresh agreement) by the U.P. State Electricity Board (predecessor of respondent nos. 2 to 4, Purvanchal Vidyut Vitran Nigam). The company defaulted on payment; supply was temporarily disconnected on 26 March 1997 and a recovery certificate was issued against petitioner no. 2 (its Managing Director), and thereafter the connection was permanently disconnected and a final bill of Rs. 36,61,248.14 raised. The company's unit was taken over by the Pradesh Industrial and Investment Corporation of U.P. (PICUP) for loan default and sold by private negotiation to respondent no. 7 by a registered sale deed dated 8 May 2002, which stipulated that all present and future liabilities (including UPSEB dues) would be payable by the vendee. Petitioner no. 2 objected that the recovery certificate in his name was illegal as the dues were the company's and he had given no personal guarantee; the Collector (respondent no. 5) returned the certificate. A further certificate for Rs. 4,22,328 was issued against petitioner no. 2, and the District Electricity Court on 10 June 2001 directed a fresh certificate in the name of petitioner no. 1 (not no. 2); a District Consumer Forum case (No. 149 of 2001) was said to be pending. A citation dated 14 September 2005 for Rs. 36,61,247, and finally a citation dated 11 February 2010, were issued. The petitioners challenged the 2010 citation, arguing (i) liability stood shifted to respondent no. 7 under the sale deed, (ii) petitioner no. 2 could not be made personally liable, and (iii) recovery was barred by limitation under Clause 6.15 of the Supply Code, 2005. The Corporation replied that the outstanding dues were liable to be recovered. Judgment was reserved on 20 August 2015 and delivered on 22 April 2016.

REUSABLE CONSTRUCTIONS

1. Recovery of electricity arrears is subject to the two-year limitation in Clause 6.15(b) of the U.P. Electricity Supply Code, 2005: dues are not recoverable after two years from when they first became due unless the licensee establishes that the amount was continuously shown as recoverable as arrears of electricity charges; a counter-

affidavit silent on such continuity cannot save a time-barred demand, so recovery initiated in 2010 for a 1997 disconnection is barred. p. p. 5

2. A defaulting consumer cannot escape its own contractual electricity liability by relying on a sale-deed stipulation (between a financier such as PICUP and an auction-purchaser) that the purchaser will bear all dues: the consumer and the supplier are not parties to that bilateral document, it does not bind them, and the demand is enforced under the supply contract; and, applying DVS Steels, a transferee cannot in any event be foisted with a predecessor's electricity dues absent a contract to the contrary. p. p. 3
3. A Director of a company is not personally liable for the company's electricity dues unless he has furnished a personal guarantee or undertaking; but the plea is unavailable where the impugned recovery citation was in fact issued against the company (through its Director) and not against the Director in his personal capacity. p. p. 4

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.15

RATIO

Two-year limitation on recovery of electricity arrears; continuity of demand must be established

QUESTION

Can electricity arrears relating to a 1997 disconnection be recovered through a citation issued in 2010, having regard to the two-year limitation in Clause 6.15(b) of the Supply Code, 2005?

HOLDING

No. Under Clause 6.15(b), no sum due from a consumer is recoverable after two years from when it first became due unless the sum has been continuously shown as recoverable as arrears of charges for electricity supplied. The two-year period may be extended only where the licensee establishes continuous demand on just and proper grounds; where the Corporation keeps silent and fails to establish such efforts, the dues are not recoverable after two years. Here the counter-affidavit was silent on whether, after the first (wrongly issued) recovery notice, any demand notice showed the dues as continuously recoverable, and no date of permanent disconnection or final bill was disclosed. Recovery initiated against petitioner no. 1 in 2010, after disconnection in 1997, was therefore barred by limitation and was quashed. p. p. 5

EVIDENCE “recovery proceedings initiated against petitioner no. 1 in 2010 after disconnection made in 1997 is barred by limitation and the respondent-corporation has no right to recover the outstanding dues in the name of charges for supply of electrical energy after expiry of period of limitation” p. p. 5

EVIDENCE “While filing counter affidavit, respondent-corporation has not explained as to whether after first recovery notice, which was wrongly issued in the name of petitioner no. 2, any demand notice was sent showing that the outstanding dues has been continuously shown as recoverable as arrears of charges for supply of electrical energy.” p. p. 5

INTERPLAY · ARREARS::transferee-liability

OBITER

Consumer cannot shift its own dues to an auction-purchaser via a sale deed it is not party to

QUESTION

Can a defaulting consumer rely on a stipulation in a sale deed between PICUP and the auction-purchaser (that the purchaser will bear all dues) to contend that its electricity liability stands shifted to the purchaser?

HOLDING

No. The petitioners and the supplier were not parties or signatories to the bilateral sale deed between PICUP and respondent no. 7, and its terms do not bind them; the petitioners cannot take advantage of it to contend that their liability stands shifted to the vendee. The demand for electricity is enforced under the supply contract between the supplier and the consumer, and (applying DVS Steels) a transferee cannot be foisted with a predecessor's dues absent a contract to the contrary. This determination did not affect the result, which turned on limitation. p. p. 3

QUALIFIER

Rejected argument; the writ ultimately succeeded on limitation, so this determination was not outcome-determinative.

EVIDENCE “The petitioners are not a party to the document. It is a bilateral document between the PICUP and respondent no. 7” p. p. 3

EVIDENCE “The demand for supply and use of electrical energy by the petitioner is being made under the terms of contract between the supplier and the petitioners.” p. p. 3

Director not personally liable for the company's electricity dues absent a personal guarantee

QUESTION

Can the Managing Director of a consumer company be proceeded against personally for the company's electricity dues?

HOLDING

As a well-settled position, a Director cannot be held personally liable for the company's electricity dues unless he has given an undertaking or personal guarantee for recovery from his personal assets. On the facts, however, the plea did not avail the petitioner because the impugned recovery citation had been issued in the name of the company (M/s Rajee Steels Pvt. Ltd. through its Director), not against petitioner no. 2 in his personal capacity. This determination did not affect the result, which turned on limitation. **p. p. 4**

QUALIFIER

The settled proposition was stated but decided on the fact that the citation ran against the company; not outcome-determinative.

EVIDENCE “a Director of the Company cannot be held personally liable for payment of electricity dues by the consumer company, unless he has given an undertaking or personal guarantee for recovery of dues from his personal assets” **p. p. 4**

EVIDENCE “Since the impugned recovery certificate has not being issued in the name of petitioner no. 2 in his personal capacity, as such, the argument advanced is not available to the petitioner.” **p. p. 4**

PRINCIPLE TAGS

two-year-limitation-recovery-of-electricity-arrears

Recovery initiated in 2010 for a 1997 disconnection was quashed as barred by Clause 6.15(b) of the Supply Code, the Corporation having failed to establish that the dues were continuously shown as recoverable. **p. p. 5**

electricity-dues-contractual-not-charge-on-premises

A defaulting consumer could not shift its liability to the auction-purchaser via a sale deed it was not party to; dues are enforced under the supply contract and a transferee cannot be foisted with a predecessor's dues absent a contract to the contrary. Lead authorities: *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* [74832153]. **p. p. 3**

director-not-personally-liable-for-company-electricity-dues

Director not personally liable for the company's electricity dues absent a personal guarantee; unavailable here as the citation ran against the company through its Director. **p. p. 4**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER, AS BETWEEN PICUP AND THE AUCTION-PURCHASER (RESPONDENT NO. 7), THE SALE-DEED STIPULATION MAKES THE PURCHASER LIABLE FOR THE DUES

Expressly left open: the Court observed the stipulation 'may be binding between the PICUP and respondent no. 7, if any dispute in respect of said dues arises', but held it did not bind the petitioners or the supplier. **p. p. 3**

RELATED CASES — SEE ALSO

SCJ-218 — Holds recovery of electricity arrears subject to the two-year limitation in Section 56(2) of the Electricity Act, 2003 and Clause 6.15 of the Supply Code — the same limitation ratio applied here.

SCJ-263 — Also applies the two-year limitation under Section 56(2) and Clause 6.15 to bar stale recovery of consumer dues.

SCJ-099 — Digest of DVS Steels — the Supreme Court authority relied on here for the proposition that a transferee cannot be foisted with a predecessor's electricity dues absent a contract to the contrary.

SCJ-037 — K.C. Ninan v. Kerala State Electricity Board — the leading transferee-liability authority in the spine, on the same privity-of-contract principle addressed here.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. DVS Steels and Alloys Pvt. Ltd. & Ors.</i> (2009) 1 SCC 210	The supply of electricity is a sale of goods between the distributor and the owner/occupier who contracts for supply; a transferee or subsequent occupant with whom the supplier has	Relied on by the Court to hold that the demand is enforced under the supply contract with the consumer, and that a defaulting consumer cannot use a sale deed (to which it	Court	Relied on

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
[74832153] Supreme Court of India	no privity cannot be asked to pay the dues of a predecessor, as electricity dues are not a charge on the premises, so the supplier can neither sue nor initiate recovery against a purchaser for the vendor's outstanding dues absent a contract to the contrary.	and the supplier are not parties) to shift its liability to the purchaser. p. p. 3		

SCJ-1062 · Rajee Steels Pvt. Ltd. & Anr. v. State of U.P. & Ors. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.